

JOINT VENTURE AGREEMENT

Entered into by and between:

BROWNS GROUP (PTY) LTD

("Hereinafter referred to as the "Vendor")

(Registration Number: 2015/444678/07)

and

MILA AZANIA HOLDINGS (PTY) LTD

(Registration Number: 2015/002533/07)

PREAMBLE

This Agreement is entered into by and between:

1. VENDOR:

Full Name:	BROWNS GROUP (PTY) LTD
Registration Number:	2015/444678/07
Physical Address:	BUILDING 6 UNIT 1, MALIBONGWE INDUSTRIAL PARK, NOOITGEDACHT MOGALE EXT 45, GAUTENG, 1739
Represented by:	AKINLABI PHILISILE MABEL
Identity Number:	8711100272081
E-mail Address:	mabel@brownsfoods.co.za

of the first part; and

2. The Member:

Full Name:	MILA AZANIA HOLDINGS (PTY) LTD
Registration Number:	2015/002533/07
Represented by:	MZAMO MYATAZA
Identity Number:	870213 5498 080
Physical Address:	210 AMARAND AVENUE, PEGASUS BUILDING, PRETORIA, 0181
E-mail Address:	mzamo@milaazania.co.za

of the second part.

(hereinafter VENDOR and the Member will be collectively referred to as the "**Parties**")

WHEREAS the Parties have resolved that the terms as set out in the following schedule shall apply to this agreement:

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SCHEDULE

i. Description of Contract: Structure refurbishment of houses	The value of the contract is: _____
ii. Total Capital Required for the Project:	R30 000 000.00
iii Admin fees	R2 750.00 (Two Thousand Seven Hundred and Fifty Rands)
iv. Profit will be shared 50/50	50/50 profit share • 50% of Profits due to Brown Food • 50% of Profits due to MEMBER
V. Equity will be shared 62/38	62/38 Equity share • 62% of Equity due to Brown Food • 38% of Equity due to MEMBER

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1 **INTERPRETATION AND DEFINITIONS**

1.1. The following words and expressions have the meanings indicated, except where the context otherwise requires:

- 1.1.1. **"Administration Fee"** means a once-off non-refundable administration fee in the amount stated in paragraph III of the Schedule, and payable by the Vendor to member in relation to costs incurred in negotiating, preparing and concluding this Agreement, which does not form part of Vendor's Contribution, but which is added to the Outstanding Amount;
- 1.1.2. **"this the Agreement"** means this Joint venture agreement entered in by and between the Parties hereto, together with the Preamble, Schedule and any Annexures hereto;
- 1.1.3. **"business day"** means any day other than a Saturday, Sunday, or public holiday in the Republic of South Africa;
- 1.1.4. **"capital"** means any resources, whether financial or human resources that are required to give effect to this agreement;
- 1.1.5. **"Confidential Information"** includes, but is not limited to, non-public information, data, or materials disclosed by the Parties to each other, including but not limited to business plans, strategies and procedures, trade secrets, financial information, customer data, proprietary technology, and any other related information, data or communications;
- 1.1.6. **"Effective Date"** means the date on which all of the suspensive conditions under clause 3 of this Agreement are fulfilled or waived to the satisfaction of Vendor;
- 1.1.7. **"Estimated Profit"** means the amount of gross profit the Vendor is estimated to earn upon fulfilment of the Purchase Order being the amount stated in paragraph IV of the Schedule;
- 1.1.8. **"Expected Payment Date"** means the date on which the is expected to pay of the Purchase Order Value into the Member's Account, which date is to be confirmed by the Parties in writing;
- 1.1.9. **"Grantor"** means the grantor as defined in the Preamble of this Agreement;
- 1.1.10. **"Gross Profit to Vendor"** means the portion of the Estimated Profit attributable to Vendor's Contribution;
- 1.1.11. **"Joint Venture"** means joint venture formed by Vendor and member in accordance with this Agreement;
- 1.1.12. **"Long Stop Date"** means the date on which the Joint Venture shall cease to exist, subject to clauses 8 and 12 of this Agreement, and the date on which the Member must repay the Outstanding Amount to Vendor, being the date stated in paragraph IV of the Schedule, and which date may be extended by Vendor in its sole discretion and in writing;
- 1.1.13. **"Material Adverse Event"** means an event or series of events which is reasonably likely to have a material adverse effect on:
 - 1.1.13.1. the business operations, assets, or financial condition of the Member;
 - 1.1.13.2. the value of any security granted by the Member for Vendor's

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- 1.1.13.3. Contribution
the legality, validity, enforceability, and/or effectiveness of the Purchase Order;
- 1.1.13.4. the validity, enforceability, and/or effectiveness of this Agreement, any security documents, and/or any other document which is at any time designated an essential finance document by written agreement between the Parties;
- 1.1.13.5. the ability of the Grantor to pay in terms of the Purchase Order;
- 1.1.13.6. the Central Supplier Database Profile for details of the Member;
- 1.1.13.7. the Member's Contribution;
- 1.1.13.8. the Member's compliance with the Relevant Law;
- 1.1.13.9. the Member's tax status;
- 1.1.13.10. the rights or remedies of Vendor under this Agreement and/or any of the security documents, or other essential finance documents designated as such by written agreement between the Parties;
- 1.1.14. **"Member"** means the Member as defined in the Preamble of this Agreement;
- 1.1.15. **"Member's Account"** means the Member's designated bank account for the purposes of this Agreement;
- 1.1.16. **"Member's Contribution"** means the Member's Contribution as defined in paragraph VI of the Schedule;
- 1.1.17. **"Vendor"** means as defined in the Preamble of this Agreement;
- 1.1.18. **"Vendor's Contribution"** means the amount contributed by Vendor to the Joint Venture in terms of this Agreement;
- 1.1.19. **"Outstanding Amount"** means Vendor's Contribution plus the total amount accrued to Vendor in profit according to the Profit Split Percentage plus the Administration Fee plus any other costs incurred by Vendor under this Agreement, if any;
- 1.1.20. **"Parties"** means Vendor and the Member collectively, and **"Party"** shall have a corresponding meaning;
- 1.1.21. **"Profit Split Percentage"** means the Percentage according to which the profit derived from the Purchase Order is split between Vendor and the Member, as set out in paragraph IV of the Schedule;
- 1.1.22. **"Purchaser Order"** means the purchaser order defined in the Preamble of this Agreement, issued to the Member by the Grantor, a copy of which is attached hereto as **Annexure A**;
- 1.1.23. **"Purchase Order Value"** means the total consideration payable by the Grantor to the Member under the Purchase Order, being the amount in paragraph I of the Schedule;
- 1.1.24. **"Relevant Law"** means the common law and statutory law applicable in South Africa including any present or future concession, constitution, decree, directive, guideline, judgment, legislation, measure, order, ordinance, practice, regulation, request, requirement, rule, statute and/or treaty issued by any relevant authority, government body, agency, or department, or any central bank, or other fiscal, monetary, regulatory, self-regulatory, or other authority, or

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agency which is applicable to this Agreement;

- 1.1.25. **"Signature Date"** means the date on which this Agreement is signed by the last Party hereto;
- 1.1.26. **"Supplier/s"** means the third party supplier/s, appointed by the joint venture, to procure the necessary goods required by the joint venture to perform the services and/or deliver the goods in terms of the Purchaser Order, and is the supplier/s as defined in paragraph II of the Schedule hereto;
- 1.1.27. **"Supplier Quote Amount"** means the amount required by the Supplier to supply the Joint Venture with the necessary goods and/or services to fulfil (or partially fulfil) the Purchaser Order;
- 1.1.28. **'Project management fees'** means the fees charged by Mila Azania Holdings for the full management and administration of the project on behalf of the client;
- 1.1.29.
- 1.2. Unless inconsistent with the context, an expression in this Agreement which denotes:
 - 1.2.1. Any gender shall include the other genders;
 - 1.2.2. a natural person shall include a juristic person or body of persons, and *vice versa*;
 - 1.2.3. the singular shall include the plural and *vice versa*.
- 1.3. The headings to clauses of this Agreement shall not be considered part thereof, nor shall the words they contain be taken into account in the interpretation of any clause.
- 1.4. This Agreement shall be construed in accordance with and governed by the laws of the Republic of South Africa and the English language versions shall prevail.
- 1.5. Where any number of days are prescribed in this Agreement, same shall be calculated exclusively of the first and inclusively of the last day unless the last day falls on a day which is not a business day, in which case the last says shall be the next business day.
- 1.6. Where figures are referred to both in numerals and in words and where there is a conflict between the two, the words shall prevail.
- 1.7. The expiration of termination of this Agreement shall not affect such of the provisions of this Agreement as expressly provide that they will operate after any such expiration or termination or which of necessity must continue to have affect after such expiration or termination, notwithstanding that the clauses themselves do not expressly provide for this.
- 1.8. Any reference to a statute shall be reference to such statute as at the date of the adoption of this Agreement by the Parties and as amended from time to time thereafter.
- 1.9. The rule of construction that a contract shall be interpreted against the party responsible for the drafting or preparation thereof shall not apply.

2 INTRODUCTION

- 2.1. The Member has been awarded the Purchase Order by the Grantor, and the Member has the necessary skill and expertise, but requires the necessary funding to fulfil (or partially fulfil) the Purchase Order.
- 2.2. VENDOR has the necessary funding required to fulfil (or partially fulfil) the Purchase Order.
 - 2.2.1. The Parties have therefore agreed to form the Joint Venture for the purposes

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of undertaking and fulfilling (or partially fulfilling) the Purchase Order, on the following basis:

- 2.2.2. Vendor agrees to finance the Purchase Order by paying Vendor's Contribution to the Supplier, subject to the terms of this Agreement;
 - 2.2.3. the Member agrees to provide the Member's Contribution as set out in this Agreement;
 - 2.2.4. the Vendor has agreed to repay to Member the Outstanding Amount on or before the Long Stop Date; and
 - 2.2.5. Vendor and the Member shall, upon receipt of payment by the Grantor of the Purchase Order Value, share the profit earned in accordance with the Profit Split Percentage.
- 2.3. The Parties have agreed to reduce their intentions to writing herein.

3 SUSPENSIVE CONDITIONS

- 3.1. This Agreement shall be subject to the following suspensive conditions:
- 3.1.1. In the event of any breach of the terms of this Agreement, the Vendor will be liable for 50% of profits which would have been accumulated had the project had been successfully executed.

4 THE JOINT VENTURE

- 4.1. The Joint Venture is an unincorporated association with the exclusive purpose of executing (or partially executing) the Project for the benefit of the Parties.
- 4.2. The operation of the Joint Venture shall terminate when all of the obligations of the Vendor toward the Member has been satisfied, and the entire Outstanding Amount has been repaid by the Vendor to the Member in full.
- 4.3. Subject to the provisions under clause 12 of this Agreement, the Joint Venture shall be deemed to have commenced from the Effective Date and shall remain in force until the earlier of:
 - 4.3.1. the Project having been completed and all the liabilities and obligations of the Joint Venture having been discharged, including repayment of the entire Outstanding Amount by the Vendor to the Member.

5 FUNDING OF THE JOINT VENTURE BY THE MEMBER

- 5.1. The Member shall advance the Member's Contribution to or on behalf of the Joint Venture, and the Vendor shall advance the Vendor's Contribution to or on behalf of the Joint Venture.
- 5.2. The Parties expressly agree that vendor's Contribution and the Member's Contribution shall be advanced directly to the Supplier as payment (or partial payment) of the Supplier Quote Amount and operational costs shall be deposited to the designated bank account for this project.

6 PROJECT MANAGEMENT FEES

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- 6.1 The Parties agree that the Project Management fee shall include all services provided by Mila Azania Holdings, including but not limited to capital raising, administrative management, and oversight of the project.
- 6.2 Any interest charged by our funders in respect of capital raised for the project will be deducted directly from the Project Management fee, and no additional costs or hidden fees will apply beyond this arrangement.
- 6.3 Furthermore, the Client acknowledges and agrees that, in the event of any breach of the terms of this Agreement or delays caused by the Client resulting in financial or administrative prejudice, penalty fees of 10 % will be applied and will be payable by the Client/Vendor in addition to any other obligations.

7 SECURITY

- 7.1 The Vendor hereby agrees to procure the following as security for the due and proper payment to the Member of the entire amount due and payable by the Vendor to the Member in terms of this Agreement:
- 7.1.1 signature and execution of a cession *in securitatem debiti* of claims, debtors and the Purchase Order by the Vendor in favour of the Member.
- 7.2 The Vendor agrees that the above securities shall continue to constitute security for all the Vendor's obligations to the Member from time to time arising under this Agreement and that the Vendor and the Surety/ies shall sign all such documents which the Member may, in its sole discretion, regard as necessary to give effect to the above securities, and shall deliver to the Member such documents as the Member may regard as necessary in order to establish, preserve and protect the Member's secured rights as set out above.

8 RETURN ON INVESTMENT

- 8.1 The Parties agree that they will each be entitled to a share of the profit derived from the Purchase Order calculated according to the Profit Share Percentage.
- 8.2 The Parties agree that the profit share payable to each calculated according to the Profit Share Percentage is just, fair, and reasonable consideration for each Party's contribution to the Joint Venture.
- 8.3 The Parties agree that in the event that the profit derived from the Purchase Order escalates for any reason whatsoever, the profit share payable to each Party shall escalate in accordance with the Profit Split Percentage.
- 8.4 The Parties agree that in the event that the profit derived from the Purchase Order decreases for any reason whatsoever, the profit share payable to the Member shall not decrease and shall remain fixed.

9 REPAYMENT OF MEMBER'S CONTRIBUTION

- 9.1 The Vendor shall repay the Outstanding Amount to the Member and into the Member's Account, on or before the Long Stop Date, or within 24 (twenty-four) hours after receipt of payment, whether partially or in full of the Purchase Order from the Grantor, whichever occurs earlier.

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- 9.2. The Vendor acknowledges and agrees that it shall remain liable to repay the Member whether payment from the Grantor for the Purchase Order has been received or not.
- 9.3. The Vendor agrees that a nominee of the Member shall, for the duration of this Agreement, have access to the designated bank account for the project.
- 9.4. The Vendor acknowledges that:
- 9.4.1. A joint account will be established between vendor and Mila Azania Holdings (the Member).
- 9.5. The Parties agree that all payments from the Grantor in connection with the Purchase Order will be paid into the designated bank account for the project.
- 9.6. The Vendor hereby acknowledges that any act and/or conduct by it and/or its duly authorised representative to change the bank details on any invoice issued to the Grantor and/or any other document and/or system of the Grantor (including the CSD) to any other account which is not the Vendor's Account will be deemed to be a material breach of this Agreement.
- 9.7. Should the Grantor, for any reason whatsoever, deposit any amount due in terms of this Agreement into any other account other than the Vendor's Account, the Vendor shall, forthwith against receipt of such amount, transfer the amount to the Member's Account. Any such payment that is not made into the Vendor's Account shall not be construed as sufficient or acceptable for any payment to be made by the Grantor for purposes of this Agreement.
- 9.8. Save for payments expressly contemplated in this Agreement, all payments to be made by the Joint Venture shall first be approved by the Parties in writing which approval shall not be unreasonably withheld or delayed.

10 **SUPPLIERS**

- 10.1. Prior to the Signature Date, the Vendor has procured a written quote from a proposed Supplier for purposes of providing the goods necessary for the Joint Venture to carry out and complete the Purchase Order, and in this regard:
- 10.1.1. MEMBER has established, or will establish, a database of preferred suppliers (the "**Supplier Database**");
- 10.1.2. in the event that a supplier listed on the Supplier Database can provide the goods necessary for the Joint Venture to carry out and complete the Purchase Order at a price that is less than that quoted by the Supplier, the Parties agree that the Joint Venture shall utilise the supplier so listed on the Supplier Database (the "**Preferred Supplier**");
- 10.1.3. the difference between the quote provided by (i) the Supplier and (ii) the Preferred Supplier, shall be shared equally between the Parties; and
- 10.1.4. any amount due to the Member on account of such saving will be paid by vendor to the Member as soon as is reasonably possible after the Preferred Supplier is paid in accordance with this clause 9, and the Member's Contribution shall be reduced by Member's portion of such saving.
- 10.2. The Vendor shall advance vendor's Contribution, and the Member shall advance the Member's Contribution, directly to the Supplier on behalf of the Joint Venture, to which the Vendor expressly agrees.
- 10.3. The Parties agree that until written proof by the Grantor of its acceptance of any stock

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purchased and/or delivered stock in terms of the Purchase Order are received, such stock shall be considered to be bought by the Member upon advancing the Member's Contribution to the Supplier, and the Member shall be the owner of the entire, right, title, and interest in and to such stock with such purchase not being regarded as the discharge of any of the obligations of the Vendor to the Member under this Agreement and the Total Outstanding Amount shall remain due and payable by the Vendor to the Member.

11 OBLIGATIONS OF THE PARTIES

11.1. The Vendor shall:

- 11.1.1. contribute to the Joint Venture the Vendor's Contribution;
- 11.1.2. at all times keep the Member informed of the status of invoices rendered in terms of the Purchase Order and when payment is to be received from the Grantor;
- 11.1.3. inform the Member of any variations and/or amendments to the provisions of the Purchase Order, whether such variation and/or amendments have a material impact in relation to this Agreement or not, forthwith after such variations and/or amendments are made, it being acknowledged that the vendor is not entitled itself to amend, or cause to be amended, any provisions of the Purchase Order without the Member's prior written consent;
- 11.1.4. maintain all equipment and/or materials required to fulfil the Joint Venture's obligations in respect of the Purchase Order in good working order and condition and delivered to any site, if applicable, within the time, and on the conditions, required by the Grantor;
- 11.1.5. ensure that it is at all reasonable times capable of performing in terms of the Purchase Order; and

11.2. The Member shall:

- 11.2.1. Contribute Member's Contribution; and
- 11.2.2. provide such information and assistance as the Vendor may reasonably request to facilitate the completion of the Purchase Order.

12 CONFIDENTIALITY

12.1. The Parties agree to:

- 12.1.1. maintain the confidentiality of all Confidential Information;
- 12.1.2. not disclose or share any Confidential Information with any third party without the prior written consent of the other Party;
- 12.1.3. use the Confidential Information solely for the purpose of executing and fulfilling their respective obligations arising under this Agreement and any ancillary documents hereto;
- 12.1.4. take reasonable steps to protect the Confidential Information from unauthorised access, disclosure, or use;
- 12.1.5. return or destroy all Confidential Information upon the request of either Party or upon the termination of this Agreement.

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12.2. The Parties agree that this clause shall not apply to information that:

- 12.2.1. Becomes publicly known through no fault of either Party;
- 12.2.2. is obtained from a third party without breach of this clause;
- 12.2.3. is required to be disclosed in the course of court proceedings or by order of court;
- 12.2.4. is specifically excluded from this clause by written consent of the Parties.

12.3. The Parties expressly agree that this clause shall remain in effect after the termination or expiration of this Agreement.

13 TERMINATION

13.1. Either party may terminate this Agreement by giving to the other party at least 30 calendar days written notice of termination after the fulfilment of all obligations to each other in terms of this agreement.

13.2. Either party may terminate this Agreement immediately by giving written notice of termination to the other party if the other party commits a material breach of this Agreement.

13.3. Either party may terminate this Agreement immediately by giving 14 calendar days written notice of termination to the other party if any of the following events of default occur:

13.3.1. The other party:

13.3.1.1 is dissolved;

13.3.1.2 ceases to conduct all (or substantially all) of its business;

13.3.1.3 is or becomes unable to pay its debts as they fall due or any accrued interest on the amount provided by the Service Provider for financing of purchase orders;

13.3.1.4 is or becomes insolvent or is declared insolvent; or

13.3.1.5 convenes a meeting or makes or proposes to make any arrangement or composition with its creditors;

13.3.1.6 the making of a general assignment for the credit of the vendor's creditors;

13.3.1.7 a misrepresentation by the vendor to the lender for the purpose of obtaining or extending credit;

13.3.1.8 the sale of a material portion of the vendor's business or assets.

13.3.2. An administrator, administrative receiver, liquidator, receiver, trustee, manager or similar is appointed over any of the assets of the other party.

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- 13.3.3. An order is made for the winding up of the other party, or the other party passes a resolution for its winding up, other than where a resulting entity will assume all the obligations of the other party under the Agreement.
- 13.4. Should either party terminate this agreement for any of the above stated reasons, each party shall calculate whatever outstanding amount that is due to be paid for services rendered up to the date of termination and make such payment within 5 business days of termination of this agreement.
- 13.5. The Vendor shall not during or after the termination of this agreement divulge or disclose to any person any information in relation to the Service Provider's business methods and trade secrets which the Vendor may come into possession of except to comply with valid requirements of the contract. It is specifically recorded that this obligation will extend to all employees and individuals associated with the Vendor.
- 13.6. In the event where the vendor cancels or terminate this agreement after the Service Provider has already incurred costs in relation to ensuring provision and performance as according to this Agreement to the Buyer, the Vendor shall pay all legal costs incurred by the Service Provider in connection with the preparation, negotiation, execution and part implementation of the Agreement and related documentation and a further amount of R5 000 000.00 (Five Million Rands) shall be paid to the Service Provider as compensation for all other costs (including opportunity costs) incurred by the Service Provider in respect of the Agreement.
- 13.7. In the event of a default/breach by the vendor, the vendor would be required to use 50% of its ordinary shares as security. The said ordinary shares will be issued to the Service Provider/the Member.
- 13.8. In the case of cancellation/termination by the vendor, the Service Provider/Member has the right of first refusal on future projects the Vendor might/will have and the Vendor will also be liable to pay the project management fees and this clause applies in conjunction with clause 6 supra.

14 BREACH / DEFAULT

- 14.1. Should the Vendor, for any reason whatsoever:
- 14.1.1. fail to pay any amount as and when due and payable in terms of this Agreement or any other agreement between the Member and VENDOR, and such default is not rectified within seven (7) days following receipt by the Vendor of a written notice of demand from the Member; or
 - 14.1.2. fail to comply with any of the terms and conditions of this Agreement or of any other agreement between the Member and VENDOR, and such default is not rectified within seven (7) days following receipt by the Vendor of a written notice of demand from the Member; or
 - 14.1.3. make any false, incorrect or misleading statement, whether expressly or tacitly, concerning the Member's financial affairs, tax status, and relevant details with regard to this Agreement and any other agreement between Member and the Vendor and/or sureties; or
 - 14.1.4. should generally do anything which may prejudice the rights of the Member, or permit same to be done; or
 - 14.1.5. fail to comply with any judgement in terms of which the property is attached within seven (7) days after the Vendor has become aware of same; or

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Insolvency Act, No. 24 of 1936 (as amended); or

- 14.1.7. reach or attempt to reach a settlement with any of the Vendor's creditors, or arrange postponement (or attempt to do so) of the payment of any debt owing by the Vendor; or
- 14.1.8. be provisionally or finally liquidated, placed under business rescue or deregistered, or provisionally or finally sequestrated, or if its/his estate should be surrendered or if a partnership should be dissolved; or
- 14.1.9. be subject to any changes in control at any time after signature of this Agreement; or
- 14.1.10. undergo Business Rescue as contemplated in Chapter 6 of the Companies Act, irrespective of whether proceedings are instituted by the directors of the Vendor or an affected person as defined in the Companies Act; or
- 14.1.11. made any representation or warranty under this Agreement and/or any security document whether expressly or tacitly, which was incorrect, false, or misleading in any material respect when made or deemed to be repeated; or
- 14.1.12. a Material Adverse Event occurs; or
- 14.1.13. contravenes any Relevant Law; or
- 14.1.14. dispose of a material portion of the Vendor's business or assets; or
- 14.1.15. have any of the Vendor's assets attached or sold in execution; or
- 14.1.16. apply for assistance in terms of the Agricultural Credit Act of 1966 (as amended); the Member shall have the right, without prejudice to any other rights and/or remedies at its disposal in terms of this Agreement, the law, or otherwise, to:
- 14.1.17. cancel this Agreement forthwith; and/or
- 14.1.18. claim immediate payment of the Outstanding Amount, which amounts shall then immediately become due, owing and payable; and/or
- 14.1.19. continue to enforce this agreement for so long as it deems fit, and then to exercise its said rights of cancellation and claim immediate payment; and/or
- 14.1.20. demand and be entitled to receive specific performance of the obligations breached by the Vendor; and/or
- 14.1.21. institute action for damages.

15 GUARANTOR

- 15.1. The Vendor (Akinlabi Philisile Mabel /Brown Foods), irrevocably and unconditionally guarantees and undertakes as a principal and independent obligation in favour of MEMBER that the VENDOR shall, upon demand by MEMBER, make payment to MEMBER of the Guaranteed Amount.
- 15.2. The VENDOR agrees that:
 - 15.2.1. should MEMBER require the VENDOR to make payment of the Guaranteed Amount or any part thereof, MEMBER shall issue a written demand to the VENDOR which written demand shall be signed by any director, manager or officer for the time being of the MEMBER (whose appointment and authority shall not need to be proved) and shall contain confirmation by the MEMBER that the VENDOR has been in addition to and not prejudice any suretyship, guarantee, indemnity or security of whatever nature which the judgment, motion procedures, judgment by default, or any other legal

- MEMBER holds or may obtain from or on behalf of the VENDOR;
- 15.2.2. MEMBER may at any time, in its sole and absolute discretion, without prejudice to any of its rights and without notice to the VENDOR:
- 15.2.2.1. release any other surety, indemnifier or any security of whatsoever nature given to it by or on behalf of the VENDOR; or
- 15.2.2.2. grant extensions of time to or compound or make any other arrangement with the persons referred to in paragraph 14.2.3.1 or the VENDOR in regard to the payment of their indebtedness or the performance of their obligations to it;
- 15.2.3. MEMBER and the VENDOR may at all times vary any or all of the terms and conditions of the VENDOR Agreement as they deem fit without prejudice to any of the rights of MEMBER against the VENDOR, and any such variation shall vary the obligations of the VENDOR to MEMBER accordingly;
- 15.2.4. in the event of the voluntary or compulsory provisional or final liquidation proceedings of the VENDOR or in the event of the VENDOR being placed under business rescue proceedings, or a compromise between the VENDOR and its Creditors:
- 15.2.4.1. MEMBER may, without prejudice to any of its rights under this Guarantee;
- 15.2.4.1.1. prove a claim against the VENDOR's estate for the full amount
of MEMBER's claim against the VENDOR; and
- 15.2.5.1.2. recover from the VENDOR the full amount of MEMBER's
total claim against the VENDOR, whether actual or contingent provided that MEMBER shall account to the VENDOR for any amount it may receive from the VENDOR or from the VENDOR's estate in excess of the amount of its claims against the VENDOR and the surety;
- 15.2.5.1.3. any dividend received by the MEMBER from the VENDOR's estate shall be applied firstly to pay that part, if any, of the VENDOR's indebtedness to MEMBER which is not covered by this Guarantee;
- 15.2.5.1.4. any failure of MEMBER to prove a claim against the VENDOR's estate shall not affect the VENDOR's liability to MEMBER in terms hereof;
- 15.2.5. the VENDOR renounces the legal benefits and exceptions of exclusion, non-cause debit, error calculi, revision of accounts and no value received, the full and exact meaning of which the VENDOR acknowledges that he understands;
- 15.2.6. MEMBER is hereby irrevocably authorized in its sole discretion to apply any amount received from the VENDOR hereunder against any debt of the VENDOR to MEMBER in such manner and whenever MEMBER deems fit;
- 15.2.7. MEMBER may cede its claim against the VENDOR to any one or more other persons in which event this Guarantee shall operate in favor of the cessionary judgment, motion procedures, judgment by default, or any other legal

in respect of all obligations of the VENDOR to MEMBER at the date of the cession and all obligations of the VENDOR to the cessionary, whether arising at any time before or after the cession;

- 15.2.8. the VENDOR may not revoke this Guarantee without the prior written consent of MEMBER before all obligations of the VENDOR to MEMBER secured hereby have been discharged;
- 15.2.9. the liquidation or winding-up, whether provisionally or finally, of the VENDOR or placing of the VENDOR under business rescue proceedings shall in no way affect the VENDOR's obligations under this Guarantee; and
- 15.2.10. the security constituted by this Guarantee shall be a continuing covering security, notwithstanding any fluctuation of the outstanding amount.

16 NO LIABILITY BY MEMBER

- 16.1. MEMBER shall have no liability to the VENDOR, or any other party, in the event that funds are not timely paid to Supplier, or goods are not timely purchased or supplied by MEMBER.

17 PENALTY/PAYMENT DELAY

- 17.1 Should the payment not be received from the end-user within a period of 30 calendar days from the date of disbursement of funds by MEMBER, MEMBER will levy a 10% penalty fee monthly on delay which is charged on all outstanding amounts.

18 LIMITATIONS AND EXCLUSIONS OF LIABILITY

- 18.1. Nothing in this Agreement will:

- 18.1.1. Limit any liabilities in any way that is not permitted under applicable law; or
- 18.1.2. Exclude any liabilities that may not be excluded under applicable law.
- 18.1.3. The limitations and exclusions of liability set out in this Agreement:
 - 18.1.3.1. Govern all liabilities arising under this Agreement or relating to the subject matter of this Agreement, including liabilities arising in contract, in tort (including negligence) and for breach of statutory duty.
 - 18.1.3.2. Neither party shall be liable to the other party in respect of any special, indirect or consequential loss or damage.

19 LIMITATION OF LIABILITY

- 19.1. Browns Group (Pty) Ltd and/or its directors will be liable for any losses incurred in pursuance of this agreement.

20 CERTIFICATE OF DEBT

- 20.1. If any dispute should arise at any time between VENDOR and the Member with regard to:
 - 20.1.1. the Outstanding Amount owing by the Vendor to the Member; and/or
 - 20.1.2. the Profit Split Percentage and/or amount of Profit payable to the Member; and/or
 - 20.1.3. any other amount owing by the Vendor and/or claimable by and payable to the Member; then, and in any such cases, a certificate signed by any manager or director of the Member, whose appointment need not be proved, shall be conclusive proof of the facts contained therein, and such certificate shall be employable in a competent court order for the purposes of provisional judgment, motion procedures, judgment by default, or any other legal

21 DOMICILIUM CITANDI ET EXECUTANDI

- 21.1. The Parties choose the addresses as detailed under the Preamble (page 2) of this Agreement as their respective *domicilium citandi et executandi*, being the addresses to which documents of file and process can be delivered, for the purpose of legal action and for the purposes of sending and giving any notice in terms of this Agreement:
- 21.2. Any notice in terms of this Agreement must be in writing and will be deemed to have been duly received by the addressee on the date of delivery, if delivered by hand during normal business hours, or on the seventh day following dispatch if sent by registered mail, or on the date of dispatch if sent via email.
- 21.3. Either Party shall be entitled to change its *domicilium citandi et executandi* to another physical address within the borders of the Republic of South Africa, as well as its email address, by giving the other Party written notice of such change.
- 21.4. Notwithstanding any contrary provision of this Agreement, a written notice of communication actually received by one Party from the other shall be regarded as adequate and duly received written notice to the addressee.

22 GENERAL

- 22.1. This Agreement constitutes the entire Agreement between the Parties with regard to the subject matter hereof, and no amendment hereof shall have any force unless reduced to writing and signed by both Parties hereto.
- 22.2. No relaxation or concession by the Member to the Vendor may be construed as a waiver of any of the Member's rights in terms of this Agreement, and no such relaxation or concession may be regarded as a novation or variation of any of the terms and conditions contained in this Agreement.
- 22.3. If any part of this Agreement is illegal, invalid, or unenforceable, such illegality, invalidity, or enforceability shall not affect, impede, or invalidate the remaining parts of this Agreement, and such illegal, invalid, or unenforceable parts of this Agreement shall be severable from the remaining parts of this Agreement which shall continue to be valid and enforceable.
- 22.4. This Agreement contains all representations made by the Parties to each other, and neither Party shall be entitled to, for any purpose, rely on any other alleged representations made by either Party.
- 22.5. Neither Party shall be entitled to allege that the operation of this Agreement has been suspended or affected in any way on the basis of the existence of another agreement.
- 22.6. This Agreement shall be governed by the laws of the Republic of South Africa, and all disputes, actions and other matters pertaining hereto shall be decided in terms of such law.
- 22.7. The Parties hereby agree to the jurisdiction of the Magistrate's Court with competent jurisdiction for the institution of any legal action arising from this Agreement, as contemplated in section 45 of the Magistrates' Courts Act 32 of 1944. However, the Parties agree that either Party may in its own discretion institute legal action in any division of the High Court of South Africa which has jurisdiction, and the Party instating the action will accordingly be entitled to costs on the scale of such High Court.
- 22.8. The Parties hereby acknowledge and confirm that each Party is independently of the view and hereby expressly agree that this transaction does not fall under the ambit of the National Credit Act 34 of 2005 and that the transaction described in this Agreement is entirely exempt from the provisions of the aforementioned Act.

22.9. This Agreement may be executed in counterparts, each of which shall be deemed to be an original, and which together shall constitute one and the same Agreement.

Signed at _____ on this ____ day of _____ 2025

As witnesses:

1. _____

On behalf of

MEMBER

2. _____
*duly authorising and warranting
such authority*

Signed at _____ on this ____ day of _____ 2025

As witnesses:

1. _____

On behalf of **VENDOR**

2. _____
*duly authorising and warranting
such authority*

ANNEXURE A

~~Initial:~~_____